Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

Project ID: ETH-SUPPLY-2026-Q2

Net supply increased by +19,445.89 ETH over the past 7 days, with burn offsetting only 0.01x of issuance

Total ETH Supply

121.60M

+19,445.89 ETH (7d)

ETH Price

$2,243

Current market price

Gas Price

0.1 Gwei

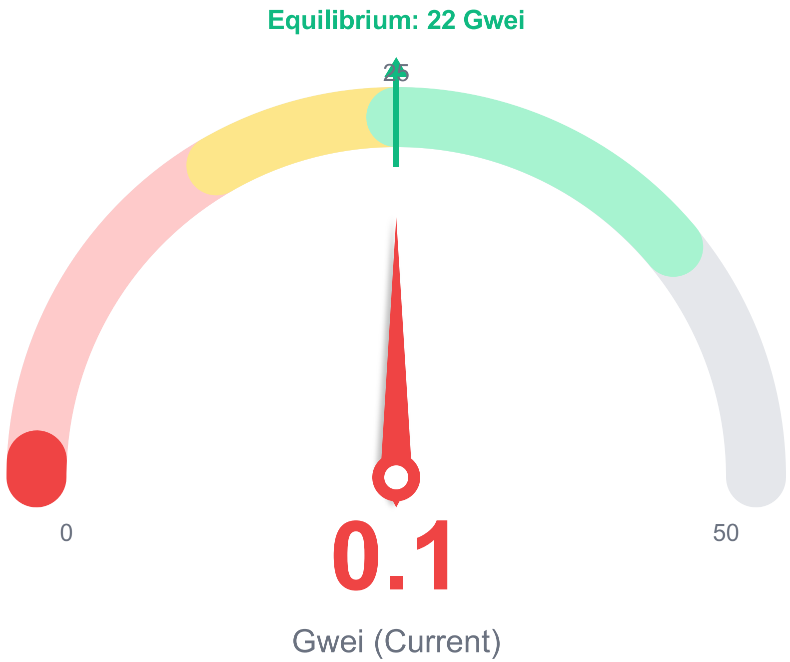
Extremely low — minimal burn

Burn/Offset Ratio

0.01x

Only 1% of issuance burned

Gas at 0.1 Gwei is insufficient to offset issuance; 22 Gwei required for equilibrium



Burn vs Issuance Analysis

Current State (0.1 Gwei)

Daily Issuance: ~2,805 ETH/day
Daily Burn: ~27 ETH/day
Net: +2,778 ETH/day (inflationary)

Equilibrium State (22 Gwei)

Daily Issuance: ~2,805 ETH/day
Required Burn: ~2,805 ETH/day
Net: 0 ETH/day (ultrasound)

Deflationary State (>22 Gwei)

Burn exceeds issuance
Supply contracts over time
ETH becomes "ultra sound money"

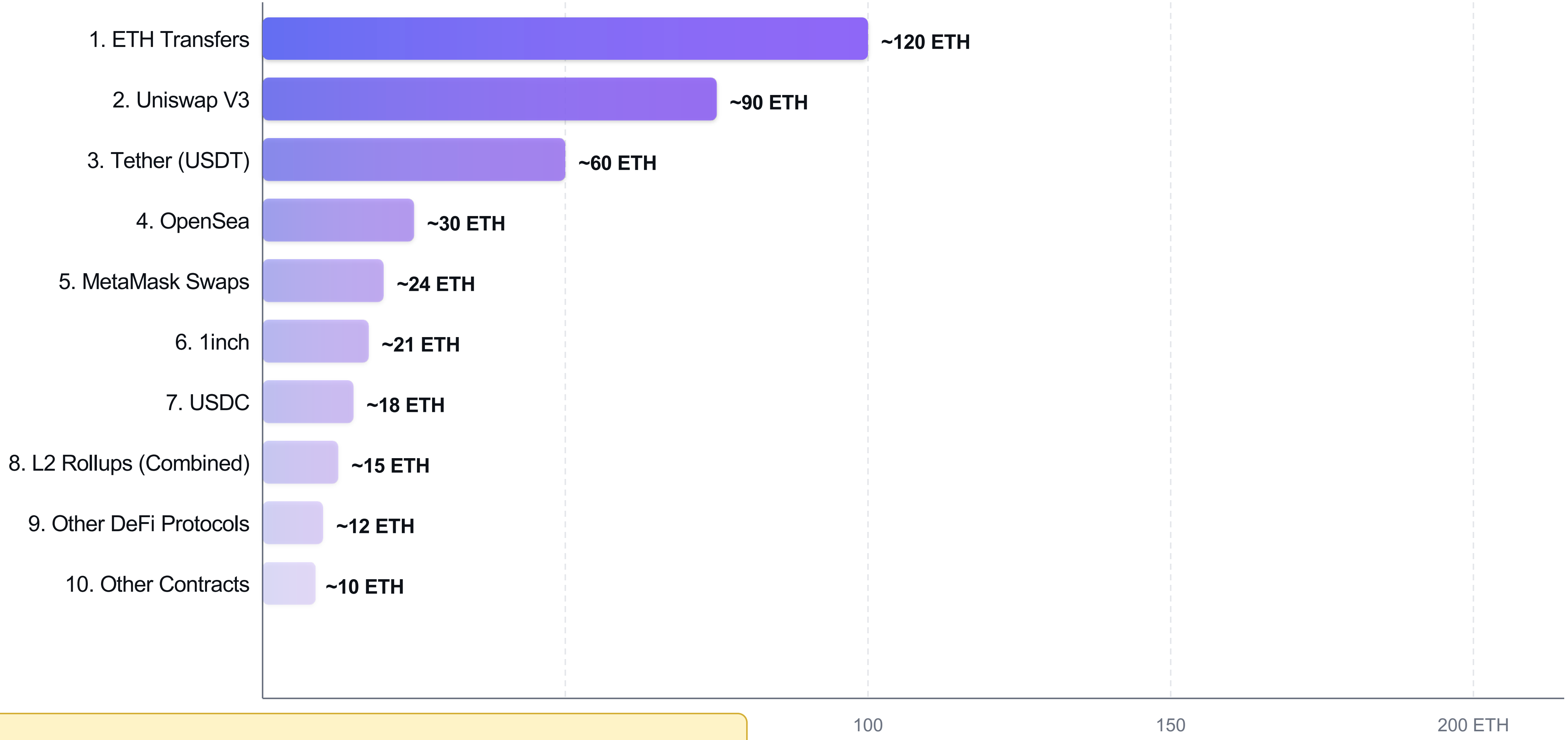
Equilibrium Formula

Burn Rate = Issuance Rate → Gas Price ≈ 22 Gwei

ETH transfers and DeFi protocols dominate burn; NFT activity has declined significantly

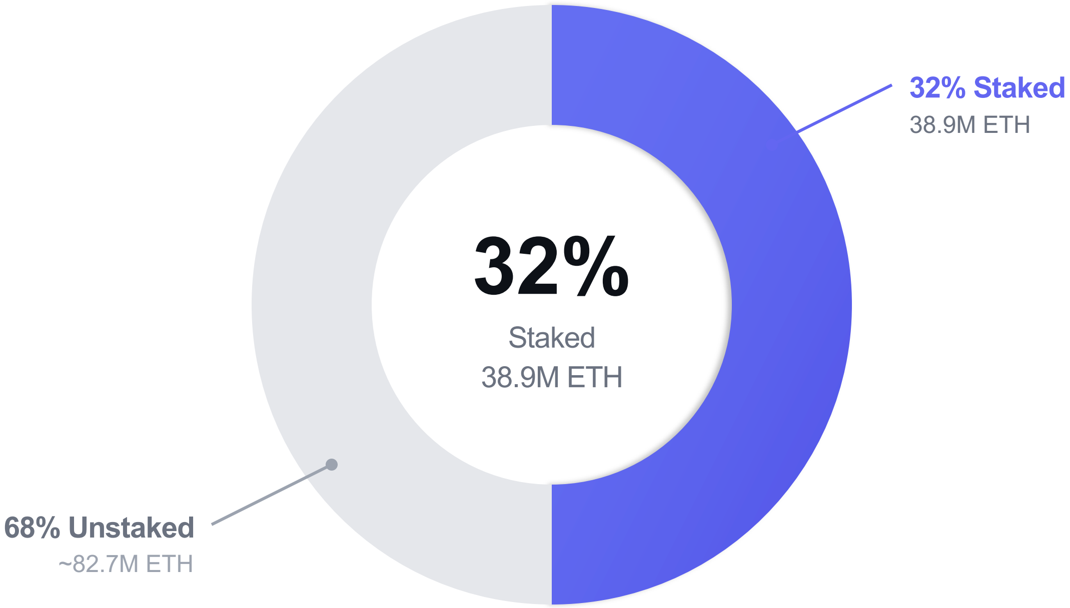
Top ETH Burners (7-Day Rolling)

Ranked by ETH burned. Data from ultrasound.money.

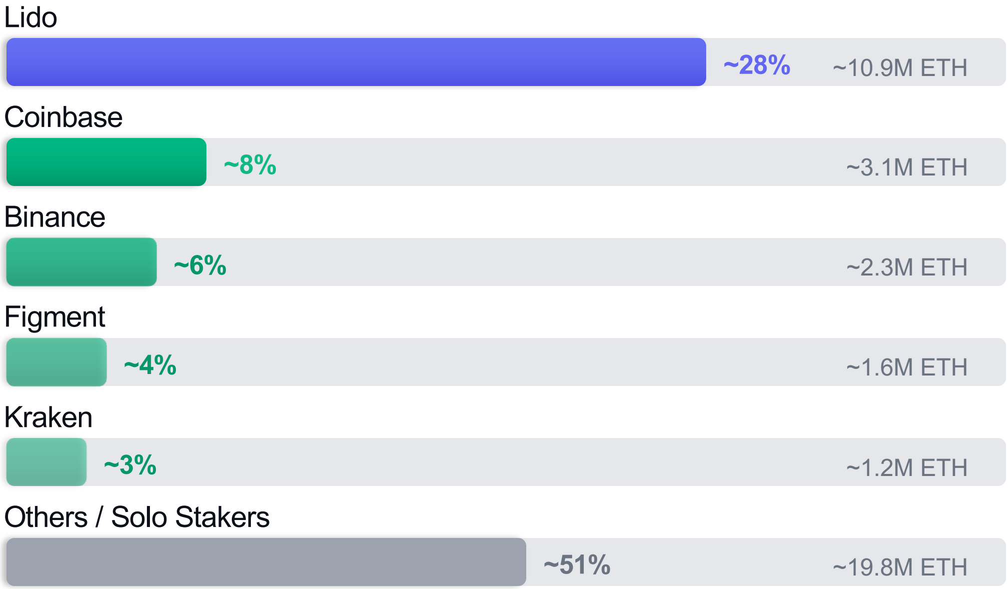


Note: Total 7-day burn is only ~192 ETH. At peak 2021-2022 activity, daily burn alone exceeded 10,000 ETH.

38.9M ETH staked (32% of supply) — Lido dominates liquid staking at ~28% share



Staking Provider Market Share



Current Staking Yield

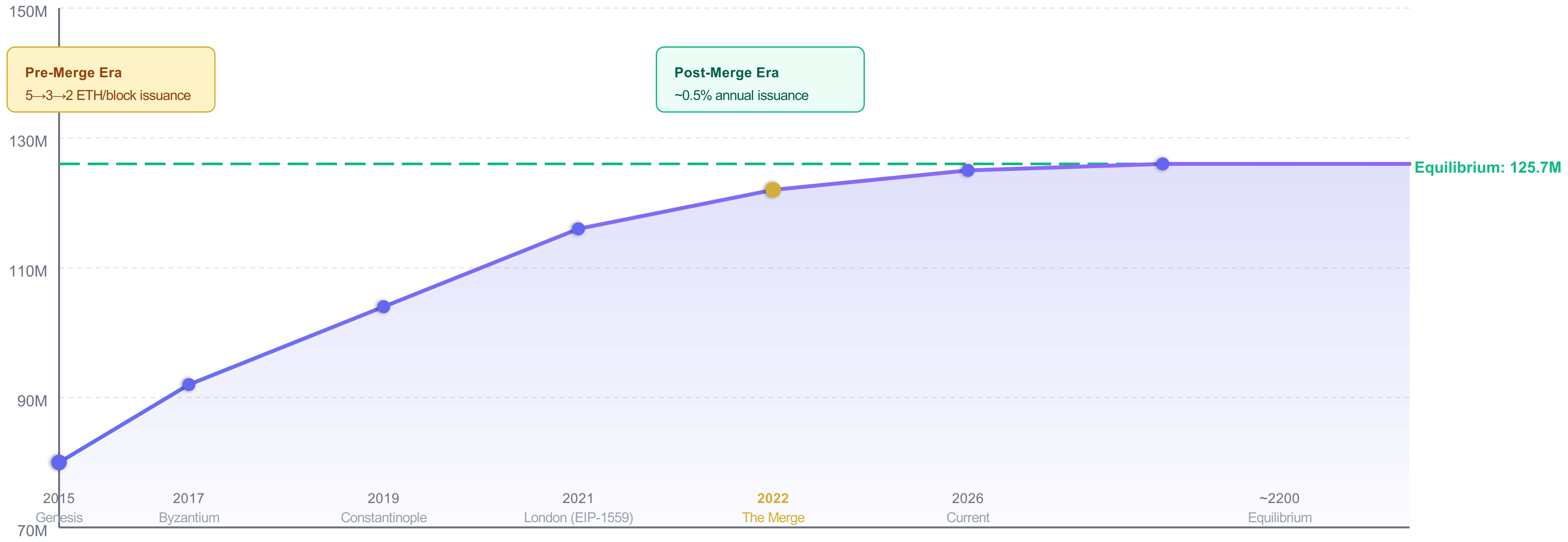
~3.2% APR (consensus rewards + execution layer tips)

Source: Dune Analytics, rated.network

Long-term equilibrium supply projected at ~125.7M ETH as issuance asymptotically approaches zero

ETH Supply Trajectory: Historical Eras & 200-Year Projection

Supply in millions of ETH. Dashed line = projected equilibrium at 125.7M.



ETH TVS at $307.6B is 18.7% of BTC market cap; "flippening" remains a distant possibility

Market Cap Comparison

Bitcoin (BTC)

~$1.64T 100% baseline

Ethereum (ETH)

~$307B 18.7% of BTC

ETH/BTC Market Cap Ratio 18.7%

Historical high: ~50% (Dec 2021) | Current: 18.7%

Total Value Secured (TVS) Breakdown

$307.6B secured by the Ethereum network

ETH (Native)	$272.76B	88.7%
ERC-20 Tokens	$22.21B	7.2%
NFTs	$12.66B	4.1%

What is TVS?

Total Value Secured measures all assets that rely on Ethereum for settlement security — ETH itself, tokens, and NFTs.

Path to "The Flippening" (ETH > BTC Market Cap)

Bear Case

ETH continues losing share to L2s; ratio falls below 10%

Base Case

Gradual convergence as ETH monetary premium grows; ratio 25-35%

Bull Case

ETH becomes dominant settlement layer; flippening achieved within 5-10 years

Key Takeaways

01 Low Gas = Inflationary Pressure

At 0.1 Gwei, burn is negligible. Net supply grows by ~19,446 ETH/week. The "ultrasound" meme only holds above ~22 Gwei.

02 Staking Concentration Risk

Lido controls ~28% of all staked ETH. This centralization poses risks to network neutrality and censorship resistance.

03 Long-Term Supply Equilibrium

Supply will asymptotically approach ~125.7M ETH over ~200 years. Current: 121.6M. The Merge dramatically slowed issuance but did not stop it.

04 Flippening Remains Uncertain

ETH at 18.7% of BTC market cap. TVS of $307.6B is impressive but monetary premium still favors Bitcoin. Structural catalysts needed for convergence.

Strategic Implication

Ethereum's monetary policy is now issuance-minimal but not deflationary at current activity levels. The network's value proposition has shifted from "ultrasound money" to "world computer."

Thank You

Questions & Discussion

On-Chain Analytics Division | April 2026